

Credit

Similar principles have informed our investing in fixed income. There are three types of credit instruments in which we generally traffic: performing bonds, distressed debt, and private credits. In buying a performing bond, we strive to ensure not only that we will be repaid on a timely basis, but also that we can obtain a yield-to-maturity that is “equity-like,” generally 9% to 11%. Given the greater risks associated with distressed credits, we have generally set the target yield at a mid-teens or higher yield to maturity. Our experience is that private credit markets can be particularly inefficient, thereby offering excess returns for the risk involved.

The financial markets can be an emotional pendulum that swings from exuberance to fear. Financial stocks were greatly overvalued in the euphoric conditions that preceded 2008’s Great Financial Crisis, for example, and then they swung too far in the other direction. But that mispricing created opportunities in the corporate debt of financials and distressed mortgages. We knew that subprime mortgages were particularly hated, so we investigated whether investor fears might be overblown.

By the end of 2009, the housing market has declined approximately 29.5% in the largest 20 metro markets. We identified a basket of distressed mortgages (Alt-A) that we purchased at a 66% discount to the original appraised home value and a 37% discount to the 2009 year-end depressed home value. We concluded that the underlying group of homes would have to decline an additional 30% before we would be at risk of losing money. With this margin of safety, we were likely to earn an attractive fixed-income return on our position with a minimal potential for loss.